

As you pay off the debt with the highest interest rate, the amount you were paying toward that debt becomes available. Roll over the entire payment amount (minimum payment + extra funds) you were making on the paid-off debt to the next debt on your list.

Conclusion

In this chapter, we discussed the concept of debt and whether it is always perceived as negative. We learned that not all debts are equal, with some, such as those for education or investments, being useful, while others, like loans for luxury items, may not be the best idea. We also discussed how to evaluate your financial situation to determine if you're in good shape when it comes to debt.

Now, get ready for the next chapter! We'll be delving into taxes. Our focus will be on helping you understand how taxes work and providing tips to ensure you don't pay more than you need to.